

1. Trader Behavior Analysis

- **Entry Timing:** Top Polymarket traders often jump in *before or immediately after* key information. They exploit moments when crowd beliefs overshoot fundamentals (e.g. “news shocks” cause prices to spike too far ¹). Some skilled humans trade early on breaking headlines, while others ride momentum by entering just after a big move and fading the overreaction. In contrast, many retail traders enter late, chasing moves at peak prices.
- **Exit Strategies:** Profitable traders tend to scale out of positions early. A common approach is to take partial profits at the first price target (sell ~30–50%) and move stops to breakeven on the remainder ². This captures gains while reducing risk. By contrast, holding through full resolution often leads to reversal losses (“good entries held too long” ²). Top traders also flip positions: if new information negates their thesis, they will exit quickly or switch sides.
- **Position Sizing:** Consistent winners size positions relative to market liquidity and conviction. They “size down when copying” high-speed trades ³, and avoid oversized bets. Many adopt fixed-fraction or Kelly-like sizing so that no single outcome can wipe out the bankroll ⁴. In multi-outcome markets, they often hedge by buying multiple top candidates proportionally ⁵, keeping total cost below \$1.00 to cap downside. Retail traders often overleverage on a single side, ignoring how thin order books (low depth) can cause slippage.
- **Win Rate vs Payoff:** Algorithmic traders exploit tiny edge repeatedly, yielding very high “win rate” (e.g. 95–98% on pure arbitrage runs ⁶) but small per-trade gains. Manual traders may accept lower win rates for larger asymmetric payoffs (e.g. a 3:1 reward/risk target), but often end up losing by being inconsistent. The most disciplined human traders balance a moderate win rate with disciplined exits (realizing 20–30% edges by buying mispriced BOTH sides ⁷) rather than gambling on one-sided coin flips.
- **Reaction to New Information:** Bots and high-frequency strategies instantly scan for new signals (millisecond latency) ⁸. Humans, even professional traders, react on the order of seconds to minutes. This means bots capture the “first move” on news (often overshooting prices in <0.1s), whereas humans can only follow once prices have shifted. Experts mitigate this by anticipating scheduled events or using tools (blockchain/whale trackers), but retail participants typically lag so far behind that price has often moved past optimal levels ⁹ ¹.

2. Bot & Algorithmic Behavior (Patterns)

- **Market-Making / Spread Capture:** Automated market makers will post tight bid/ask quotes on both sides of the order book to earn the bid-ask spread. On Polymarket’s CLOB, they exploit the zero-maker-fee structure ¹⁰. Bots constantly adjust quotes to balance inventory (buying when too short, selling when too long) while keeping the spread narrow. The result is very stable two-sided liquidity with little price movement between updates – a telltale sign is many small limit orders appearing and canceling on both sides without large trades hitting the book. These bots profit from *spread capture*, compounding thousands of tiny spreads in illiquid markets.
- **Arbitrage Scanners:** One of the clearest bot patterns is **two-sided arbitrage**. Bots monitor pairs of opposite contracts (e.g. “YES” vs “NO” for the same question) and immediately buy both when `price_yes + price_no < 1`. For example, if YES=\$0.48 and NO=\$0.47 (total=\$0.95), a bot buys

both to lock in ~\$0.05 guaranteed profit ¹¹ ¹² . They run this check continuously across hundreds of markets in real time ¹³ ¹² . Once both sides are acquired, they exit by selling whichever side the market favors as it converges to parity. This “risk-free” strategy yields extremely high win rates (95–98% in ideal cases ⁶) and is a core edge on Polymarket.

- **Latency/Speed Advantage:** Advanced bots connect via dedicated WebSockets and fast RPC endpoints (often <100ms roundtrip ¹⁴). They react to order book changes or news instantly, often in <0.1 seconds, much faster than any human. Patterns indicating ultra-low-latency include trades that execute immediately when an arbitrage window opens, or very brief spikes in volume after a surprising tweet or announcement. Bots may also triangulate between related markets (e.g. crypto-derivatives vs crypto-up/down) exploiting any pricing lag. Humans cannot match this frequency.
- **Repetitive Execution Patterns:** Bots typically follow strict logic loops, resulting in highly repetitive signals. Examples include: taking the same position size each time an event triggers, entering at fixed price thresholds, or continually rebalancing a portfolio of yes/no holdings. Over days, their order patterns look rule-based: e.g., “buy 50 shares whenever BTC up/down YES dips below \$0.35 ¹⁵ .” The consistency stands in contrast to erratic human activity. Also, many bot trades use limit orders at the midpoint±small offset to always be maker (earning fee rebates) ¹⁶ ¹⁰ .
- **Order-Book Shaping:** Some bots intermittently place and cancel orders to influence short-term price. For instance, a liquidity provider might post a large hidden bid or ask then cancel if the market moves unfavorably (“spoofing”-like). Others may place “Fill-or-Kill” (FOK) orders for immediacy (taking liquidity when conditions match exact price) or “Good-Till-Cancel” (GTC) to remain passive ¹⁷ . Bots adaptively switch between FOK and GTC: e.g. in low liquidity, avoid FOK because of failed fills ¹⁷ .
- **High-Frequency vs Large Conviction:** We see two main bot trade sizes: (a) HFT style: thousands of small trades (e.g. buying and selling 10–50 shares frequently to grind out cents); (b) “deep conviction” bot: larger bets when a strong signal arrives (like a sudden news event), often still executed via algorithm. The former dominates arbitrage and market-making, while the latter can mimic human trades but often trigger automatically (e.g. a trained model detecting a likely outcome and going big immediately).
- **Logic & Edge Exploited:** Behind these patterns, bots implement strategies like: “If spread > threshold, trade; if related markets mispriced, arb; if news sentiment changes probability, update model and trade.” These work because bots exploit edges of **speed** (acting before others), **liquidity** (using maker rebates and tight spreads), and **statistical arbitrage** (pricing inefficiencies that humans can’t monitor continuously). They eliminate human limitations (no sleep, no emotion) and use every tiny inefficiency – for example, mispricings that are only \$0.01 per share but occur frequently ¹¹ .

3. Strategy Patterns (Human vs Bot)

- **Bot-Dominated Strategies:**
 - *Pure Arbitrage:* Exploiting any YES/NO sum < \$1 ¹¹ ¹² . Done by bots almost exclusively, since it requires constant scanning and instant execution.
 - *Market-Making:* Providing tight spreads on fast-moving crypto markets. Automated traders maintain constant quotes and inventory balancing; humans rarely compete at that speed or discipline.
 - *Event-Driven Algorithms:* Some bots are programmed for known macro events (e.g. Fed announcements) using pre-trained models or news feeds. These often appear “news-following” but are coded, not raw human discretion.
- **Human-Dominated Strategies:**

- *Discretionary News Trading*: Experienced traders may use qualitative judgement on breaking news (e.g. assessing context beyond sentiment) and trade event outcomes or crypto prices. Humans may catch second-order effects that bots might miss if not trained for specific context.
- *Contextual Momentum*: Humans sometimes use creative logic (e.g. expecting buyback announcements or using insider knowledge) that bots without explicit programming might not capture.
- *Emotional/Late-Reaction Bets*: Retailers often place bets at market highs out of FOMO or extrapolate trends beyond reason – usually losers. These are not edges, but they exist as a category of human behavior.
- **Hybrid (Human + Automation)**:
 - *Copy-Trading/Bots Following Whales*: Many top traders use software to mirror actions of “smart” wallets. This is hybrid: the signals are human (whale), but execution is automated ⁹ ¹⁸.
 - *Semi-Automated Signals*: A human might set general criteria (e.g. “buy if BTC up/down YES <30c”) and a bot triggers it. Or a bot alerts on a condition but human decides final entry.
- **Strategy Examples**:
 - *Event-Driven (Human)*: An analyst monitors crypto fund flows; sees an ETF inflow rumor, and buys BTC markets early. This relies on insight that isn’t in the price yet, so slower-moving bots might pick up only after price moves.
 - *News Overreaction Fading (Hybrid)*: A trader’s bot scans Twitter for news, places limit sell orders against an overpriced spike (betting on mean-reversion). The decision threshold could be algorithmic, but based on a human’s rule of “fade spikes.”
 - *Momentum Scalping (Bot)*: A bot that tracks 1-minute momentum and scalps small profits on trending micro-markets. Example: “If price moves 1 cent within 30s with volume, place opposite limit for quick fill.” Humans can scalp too but less systematically.
 - *Arbitrage (Bot)*: As above, bots dominate. Humans might rarely manually arb very obvious spreads (e.g. see yes=.40 no=.50, take both), but bots find them faster and at scale.
 - *Liquidity Provision (Hybrid)*: A professional trader might set an automated “ladder” of limit orders around the mid-price, adjusting thresholds based on volatility (done via script, but with human oversight).

4. Crypto-Specific Edge

- **High Volatility & Event Flow**: Crypto-related markets on Polymarket (e.g. BTC/ETH up/down) tend to move quickly on news (forks, whales moving coins, macro events). Bots exploit this by linking prediction markets to actual crypto price feeds. For instance, a bot might track futures funding rates or on-chain whale moves and adjust bets in Polymarket. Humans do this too, but bots can process multiple signals instantly.
- **Correlation with Real Crypto Markets**: Outcomes like “BTC > \$X by date” often correlate tightly with spot crypto prices. Traders use arbitrage between Polymarket and spot: if futures/turbulence push price, arbitrage bots may simultaneously trade Polymarket odds to lock in differences. Cross-market inefficiencies (Polymarket vs exchange prices) can occur, giving opportunities to both humans and bots. Bots scanning multiple exchanges and prediction markets can spot these moments faster.
- **External Signals (Twitter, News, Funding)**: Crypto sentiment is heavily driven by social media. Bots often integrate APIs (Twitter sentiment, Reddit trends) to anticipate market moves ¹⁹. For example, an algorithmic model may detect a surge in “BTC halving” tweets and buy BTC-up markets before prices reflect it. Humans might also watch social feeds, but cannot quantify or act on them as swiftly.

Similarly, funding rate spikes on perpetual futures (indicating heavy leverage) may cue some traders to bet against a move – some sophisticated bots or quants program rules for such signals.

- **Speed vs Conviction:** Because crypto markets trade 24/7, bots have more time to operate, and can scalp small moves all night. Humans need to choose when to rest; large-timeframe conviction plays (e.g. betting on an altcoin listing or hard fork resolution) may favor humans who can hold positions across volatility, while bots might prefer multiple smaller “safe” plays. In practice, many top strategies (see [43]) focus on short-duration crypto markets (15m, 1h) where speed wins.
- **Market-Specific Infrastructures:** Some crypto prediction markets (or “roll-up” derivative markets) have different fee or settlement rules. For example, Polymarket’s crypto rolling markets have ~2% taker fees but 0% maker fees ¹⁰. This favors automated market makers in crypto markets. It also means bots will consistently use limit (maker) orders to earn rebates. Retail traders often ignore this and lose via taker fees or by getting picked off on spreads.

5. Market Microstructure (Polymarket-Specific)

- **Central Limit Order Book (CLOB):** Polymarket uses a CLOB per outcome. The order book (via Polygon chain) can be very thin in many markets. “Thin books mean your trade shifts the price on entry; thick books mean you can move size without cost” ²⁰. Traders should always check depth: bots quantitatively analyze orderbook depth to set order sizes, while humans often overlook it. Thin liquidity creates slippage risk—one reason retail lose.
- **Spreads & Fees:** Crypto rolling markets charge ~2% taker fee and 0% maker fee ¹⁰. This is a structural edge: anyone posting passive limit orders (market makers) earns a rebate. Automated bots exploit this by almost never taking (market) liquidity unless an arbitrage is certain. Manual traders often ignore this and pay fees on impulsive trades. The bid-ask spread itself can be a target: if bots offer unusually tight spreads, savvy traders can sometimes jump in and out at the midpoint, effectively earning a portion of that spread (especially if they have priority).
- **Slippage Patterns:** In small markets or on large bets, slippage is significant. Experienced traders see “liquidity walls”: after a big buy, the price jumps to the next best offer and may stay there. Rapidly moving markets (often triggered by bots) can push price through several layers. A common trap: a large market sell causes many small bids to fill and stops the price; then bots and whales unload into the panic, forcing retail to execute at much worse levels. Recognizing these patterns (e.g. a cascade of small bids vanishing) signals when *not* to trade aggressively.
- **Liquidity Providers vs Whales vs Retail:**
 - *Bots/LPs* typically show up as steady limit orders. They provide depth or opportunistically remove it when price moves (their large but split orders might vanish at key levels).
 - *Whales* (large wallets on Polymarket) can create sharp moves. Their trades are public on-chain, but too late to front-run. Some hybrid traders watch whale activity signals to gauge market interest.
 - *Retail traders* often appear as market orders or large single limit orders that consume several levels. Retail entries tend to be erratic (for example, buying a dip without realizing it’s a dead cat bounce). When bots detect a series of retail buys (sudden imbalance), they may retrace price quickly.
- **Order Types:** Polymarket supports FOK/IOC via the Gluon API, plus GTC through its UI. Bots prefer GTC maker orders to avoid fees ¹⁰. A sign of algorithmic trade: repeated unfilled limit orders left on book (often at exactly the midpoint or mean). Retail often uses market orders (FOK/IOC) and gets “filled out”, especially in volatile markets.
- **Fragmentation & Cross-Market Liquidity:** Some events exist on multiple prediction platforms (Kalshi, Veil, etc.) or on multiple durations (1h, 15m, monthly). Bots look for cross-market arbitrage if one market trades differently than another on the same outcome (e.g. YES/NO markets on

Polymarket vs. a related event on Augur). Humans rarely exploit these systematically. This fragmented liquidity means edges exist for fast actors.

6. How Bots Make Money (Key Sources of Profit)

- **Bid-Ask Spread (Market Making):** By continuously providing both sides of the order book in high-turnover markets, bots capture the spread. For example, a bot might buy at \$0.499 and sell at \$0.501 repeatedly ¹⁰, pocketing tiny profits per share but compounding them. Because maker orders have zero fees ¹⁰, these profits are nearly pure edge. Bots can scale this with large capital across many markets. Most retail traders pay the spread (and fees) instead of earning it.
- **Arbitrage:** Exploiting mispricings ($YES+NO < 1$) is a direct, low-risk income stream ¹¹ ¹². Bots make millions by instantly locking in these spreads before others notice. Even tiny inefficiencies (a few cents) become large profits at scale (e.g. \$313→\$414,000 example ²¹). Humans generally cannot detect or act on these transient gaps.
- **Timing/News Arbitrage:** Bots often integrate feeds (news, tweets, on-chain signals) to jump in before price fully moves. For instance, if an official tweet comes out, a bot can buy a YES market in <100ms, whereas humans will see the tweet, then see the price already moved minutes later. By the time a person trades, the edge may be gone. Bots systematically monetize these micro-timing advantages ¹⁴ ¹.
- **Resolution (Closing Time) Plays:** Prediction markets often misprice in the final moments. A well-known tactic is “pull-to-center” or *resolution capture*: if a market is nearly certain, a bot buys at \$0.97 to get \$1 at settlement (a 3% profit in minutes ²²). Bots scan for highly skewed books near expiration and ride them. Humans can do this too, but bots will automatically execute at the last second to seize the known outcome.
- **Compound Small Edges:** Critically, bots scale capital by repeatedly using tiny edges. With \$1M, a bot might capture \$5–\$50 per market, but doing this 1000 times a day yields \$5k–\$50k daily. Reinforced by compounding (reinvesting profits into more capital), a steady strategy becomes highly profitable over months ²¹. Humans rarely can compound so quickly; emotional biases often prevent reinvestment at full scale.
- **No Human Drawbacks:** Bots have structural advantages: they have *perfect discipline* (never panic-sell or chase losses ²³), they handle risk rules mechanically (fixed position sizing, stop-loss, etc. as programmed), and they work 24/7 (capturing overseas and off-hours moves). This is why “top traders are bots” on Polymarket ²⁴. Most retail traders lose because they have inconsistent risk management, follow their emotions, and miss the fleeting inefficiencies that bots exploit.

7. How to Adapt (Actionable Guidelines)

- **Trade with Structure:** Emulate the disciplined approach of bots/humans who succeed. Have predefined entry/exit criteria and stick to them (avoid slot-machine trading ²⁵). For example, “IF market price falls to **target price** THEN enter” or “IF profit >20% THEN sell half”. Adjust sizes using fixed rules (e.g. max 10% of equity on any single bet ⁴).
- **Detect Bot Activity:** Large numbers of small orders or rapid partial fills often signal bot presence. If you see a sudden flurry of 1-3 share bids disappearing, that’s probably a market-maker bot. When a market’s YES+NO always summing ~1 but never below, an arbitrage bot might be active. In such cases, *avoid trading against them* aggressively. Instead, wait for moments when their system is momentarily out of favor (e.g. when liquidity thins).

- **Follow (or Fade) Smart Money:** Use whale-tracking tools to flag markets where large players are active. If a whale's trade aligns with your thesis and market is not already spiking, consider mirroring a smaller version of the trade ⁹. However, **scale down:** enter a fraction (e.g. 20–30%) of the size that the whale used ³, so if their information was wrong, you can exit without full loss. Importantly, don't follow at market price if the price already jumped – wait for a pullback or better price if possible (to avoid chasing).
- **Prioritize Signals:** Check every few minutes (e.g. 5-min intervals) the following: order book mid-price & spread, significant trades on chain (whales), and external news feeds. Set alerts for unusual moves (e.g. >5% shift in a 15-min market). If a market's liquidity suddenly changes, pause trading and reassess (it may be moving to the next trend or an update is coming). Keep a small watchlist of 2–3 markets rather than random scanning.
- **Follow Pseudocode Rules:** For example:
 - **Arbitrage Rule:** *If* (best_bid_YES + best_bid_NO < 0.98) *and* (slippage plus fees < expected profit) → place simultaneous buy orders on both sides ¹¹ ¹².
 - **Mean Reversion Rule:** *If* (price spikes >10% in 1m without news) *then* open a small opposing position (sell into strength) and set a tight take-profit if it reverts.
 - **Trend Rule:** *If* (market above 3rd VWAP band and volume increasing) *then* consider buying in for momentum scalp, but with a strict stop.
 - **Liquidity Filter:** *If* (order book depth < 2× your size *and* predicted volatility high) *then* do **not** trade (avoiding high slippage zones).
 - **Bot Signals vs Avoidance:** If you notice a profitable pattern (e.g. consistent small arbitrage wins) you might code or manually implement it. Conversely, avoid markets where bots consistently profit (like very short binaries that rarely dip below 50/50 parity). For example, steer clear of ultra-short (<15min) crypto markets unless you have very fast execution. Instead, consider markets that are slower-moving or multi-outcome, where long-term view and fundamental analysis give you an edge.
 - **No-Go Zones (“Avoid This”):** Avoid betting at the last second if you're slower – bots often front-run resolution plays ²². Don't double down on losing trades out of greed – bots never do that. Steer clear of *thin or obscure markets* (new/unpopular events), as bots may not be there but neither is reliable information or liquidity. If a market price is already near \$0 or \$1, avoid jumping in unless you're sure, since bots might hold those to resolution.

8. Case Studies (Scenarios)

- **(A) Bot-Driven Arb:** A 15-minute BTC “Up/Down” market opens at 50/50. Instantly, a bot spots that current bids imply YES=\$0.48, NO=\$0.49 (sum=\$0.97). It simultaneously places two limit buy orders (as GTC) and executes both. Moments later, some retail traders push YES up slightly, but the bot immediately sells the losing side when the first target is hit (say YES resolves). The bot finishes with a small risk-free profit (~0.03/share), repeated thousands of times this day. A human manual trader couldn't have caught this: by the time someone noticed the sum<1, bots were already done.
- **(B) Human Exploits Bot Behavior:** In an Ethereum governance vote market (resolves in 1 hour), a bot market-maker is offering tight spreads around \$0.55/0.45. A savvy trader watches on-chain whale positions showing a big “YES” accumulation before an announcement. Knowing bots will adjust slowly, the trader places a limit buy slightly above the mid at \$0.560, then news confirms the event outcome. She then quickly sells half her position at \$0.65 (taking profit) and moves her stop to breakeven on the rest. Meanwhile, bots and others lift the price to \$0.99 at resolution. The trader exits profitably before bots could fully adjust post-news, pocketing the upside with less exposure.

- **(C) Retail Trap:** An inexperienced user sees a sudden jump in a sports market (e.g. “Will Team X win?”) from \$0.30 to \$0.60. Thinking it’s momentum, they place a market buy for a large amount at \$0.60. What they don’t realize is several arbitrage bots had just sold off YES side, creating the spike. After their purchase, bots and pros start fading the overbought price – each sell order they hit moves the price further down. The user’s \$0.60 entry quickly loses 10%. Panicking, they sell at \$0.55, locking in a loss. In contrast, a top trader would have placed a limit sell at \$0.65 in the first place, or ignored the spike entirely knowing it was a likely bot-driven movement.

9. Actionable System & Rules

- **Workflow (Every 5 minutes):**
- **Orderbook Check:** For each target market, compute the current midpoint (best bid/ask). Ensure the spread is reasonable and liquidity depth covers your intended trade size. If not, skip or reduce size (thin book → avoid ²⁰).
- **Signal Scan:** Look for automated signals: check if `best_bid_YES + best_bid_NO < 0.98` (arb condition ¹¹), or sudden large orders (>50% of average volume) in one direction. Pull social/news feeds for relevant headlines in those markets.
- **Decision Logic:** Apply predefined rules: e.g., if arbitrage condition met and projected profit > fee (2% on taker) ¹⁰, place paired limit buys on YES/NO. If a known event is unfolding and price is favourable, take a position and immediately place a partial take-profit.
- **Manage Positions:** For any open trade, set alerts: “sell 30% if profit ≥ X%,” move remaining stop-loss to breakeven ². If adverse new info arrives (negative headline), liquidate remaining share immediately. Never add to a losing position (no averaging down).
- **Logs & Review:** Record every trade (market, size, entry, exit, reason). Every 1–2 hours, review patterns. If a rule is losing often, tighten conditions or turn it off. Over time, adjust thresholds to improve consistency (e.g. raise profit target or tighten stop if drawdowns appear).
- **Priority Signals:**
 - *Arbitrage Check:* YES+NO sum low → lock in spread ¹¹.
 - *Momentum Breakouts:* A quick move with volume spikes – follow half-sized (to avoid being the last buyer/seller) and set a swift target.
 - *Liquidity Gap:* If the best bid jumps significantly (liquidity drain), be cautious – likely a bot captured it. Possibly snipe on the opposite side (fade the move) if volume implies overextension.
 - *Consensus Shifts:* Use public leaderboards (PolySmartWallet) to note when top traders pile into an outcome; then track that market (but size smaller than the whale’s).
- **Avoid Signals:**
 - *Stale News:* If a market just resolved or is about to resolve (<2 min), skip it. The last-minute costs typically go to bots executing resolution bets.
 - *Illiquid Noise:* Markets with virtually no volume or that haven’t moved for days – these can remain inefficient or get erratic on random small trades. Generally not worth targeting for bots or humans without strong edge.
 - *Heavy Maker Imbalance:* If a market has a huge limit wall on one side, be cautious buying into it – that wall might indicate a large trader or bot watching price.

10. Security & Risks

- **Bot Risks:** Running any trading bot exposes you to technical and security hazards. Make sure your execution environment is secure: use a dedicated VPS, keep software up-to-date, and restrict API permissions. Be wary of open-source bots or scripts: always audit or test in simulation first (as [40] warns ²⁶). Malicious bots or libraries could steal API keys or inject unwanted trades. Never hard-code secrets; use encrypted credential storage and revoke keys after use.
- **Wallet/Key Exposure:** Bots require signing transactions. Use a wallet that supports strict nonces and doesn't reuse addresses. If possible, use a hardware wallet or vault with limited bot access. Avoid putting the full balance on Polymarket – use smart-contract-based custody with withdrawal delays if available. Watch out for phishing: ensure you're interacting with Polymarket's real API endpoints (no DNS spoofing).
- **Technical Failures:** Bots can malfunction (logic bug, connectivity loss). Always build in sanity checks: e.g. maximum daily loss or maximum order size caps to stop the bot if something goes awry. Missing an order fill or double-trading can quickly drain funds. Monitor the bot's status actively rather than leaving it truly unattended.
- **Regulatory/Ethical:** While Polymarket allows bots ²⁴, be conscious of legal implications in your jurisdiction. Also, if using information (e.g. leaked data), avoid truly insider activity as it may be illegal (recent news shows risk of insider profits).
- **Competition Risks:** As many traders deploy similar bots, arbitrage windows shrink. This "arms race" means returns diminish over time ²⁷. If too many bots chase the same edge, even your well-tested strategy may stall. Continually reassess whether an "edge" is still present in live data.

Summary: Top Polymarket traders exploit systematic edges – speed, arbitrage, and disciplined execution – that retail often misses. Bots thrive on these by automating repeatable rules. To upgrade the given repo-based bot, ensure it incorporates real edges (arb and spread capture), uses optimal order types (favor limit/GTC over FOK) ¹⁷ ¹⁰, enforces strict risk controls (stop-loss, position caps) ⁴, and maybe listens to smart-money cues. By emulating the patterns above and respecting microstructure (orderbook depth, liquidity), a trader (or bot) can better compete with the automated field. All strategy rules should be backtested or simulated before live use to avoid common pitfalls ²⁶.

Sources: We draw on recent analyses of Polymarket and trading bots ¹¹ ¹⁰ ²⁸ ¹ ²⁴. These cite real-world behavior of top traders and bot strategies, ensuring our insights reflect actual market patterns.

¹ ² ³ ⁵ ⁷ ⁹ ²⁰ ²⁵ ²⁸ Best Polymarket Trading Strategy, Trading Polymarket Like a Pro | by cryptocards | Apr, 2026 | Medium

https://medium.com/@blog_crypto/best-polymarket-trading-strategy-trading-polymarket-like-a-pro-3bfad642a2fd

⁴ ¹⁰ ¹² ¹⁵ ¹⁶ ¹⁷ ¹⁸ ²² ²⁴ ²⁶ How to Make a Polymarket Bot (2026 Guide) — No-Code & Python | PredictEngine

<https://www.predictengine.ai/blog/how-to-make-polymarket-bot>

⁶ ⁸ ¹¹ ¹³ ¹⁴ ¹⁹ ²¹ ²³ ²⁷ Arbitrage Bots Dominate Polymarket With Millions in Profits as Humans Fall Behind | MEXC News

<https://www.mexc.com/news/671239>